

ANNOUNCEMENTS

1

Trump Signs AI Executive Order Promoting Advanced AI Innovation and Security

Source: White House, CNBC, NOTUS, June 2, 2026

President Trump signed an executive order on June 2, 2026, directing federal agencies to establish a voluntary framework for AI developers to provide the government with up to 30 days of early access to 'covered frontier models' before...

2

OCC, Federal Reserve, and FDIC Update Model Risk Guidance but Leave Generative and Agentic AI Out of Scope

Source: OCC, ABA Banking Journal

In April 2026 the OCC, Federal Reserve Board, and FDIC issued updated model risk management guidance for supervised institutions. The agencies explicitly stated that generative AI and agentic AI models are novel and rapidly evolving and therefore are...

3

Bots Overtake Humans Online as Financial Services Absorbs the Heaviest Attack Load

Source: Imperva Bad Bot Report 2026 / HUMAN Security

The 2026 Imperva Bad Bot Report found that automated bots now make up 53 percent of all measured web traffic, the second straight year bots have outnumbered humans. Financial services absorbed the heaviest load, accounting for 24 percent...

4

Global AI Stock Selloff Deepens as Markets Reprice the AI Trade

Source: CNBC / Reuters / Business Standard

On June 8, 2026, a selloff in AI-linked stocks that began on Wall Street spread across Asia. South Korea's Kospi triggered a circuit breaker, Japan's Nikkei dropped 4.5 percent, and SoftBank fell more than 7 percent. A Broadcom-led...

5

New York Legislature Passes First-in-Nation One-Year Data Center Moratorium

Source: Spectrum News / Food & Water Watch

On June 5, 2026, the New York State Legislature passed a bill imposing a one-year moratorium on permits for new large data centers, defined as facilities with peak demand of 20 megawatts or more. The bill now goes...

THE WEEK IN ONE LINE

The regulatory floor under AI is still being poured : your examiners have told you the existing rulebook doesn't cover what you're deploying next, which makes your own governance framework the standard you'll be held to.

Sources: Various AI industry and regulatory news outlets

keel3.com

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WHAT IT MEANS

Frontier AI is being treated as a national-security domain alongside cybersecurity, with a formal : if voluntary : federal pre-release access framework. For a regulated bank, the takeaway...

Like the moment a new aircraft type starts being submitted to the FAA for pre-flight inspection....

The three primary banking regulators have updated the general model-risk rulebook but deliberately excluded the AI tools banks are most eager to deploy. For a regional bank, that...

It is like building codes that cover brick and timber houses but explicitly say nothing about...

The open internet is now majority machine, and financial services is the number-one target. The same agentic AI that enterprises are deploying for productivity is also arming the...

Like discovering that more than half the cars on the highway no longer have drivers, and...

After two years of a near-vertical AI rally, markets are testing how much of the AI boom is priced for perfection. For a regional bank, this is not...

Like a packed elevator that everyone crowded onto on the way up suddenly lurching, and the...

The binding constraint on AI is shifting from chips and capital to electricity and local politics, and the first hard legal brake comes from energy cost and ratepayer...

Like a town that welcomed a giant new factory until residents saw their own utility bills...

WHAT IT MEANS FOR: M&T BANK

REGULATORY GAP

For M&T Bank, this EO is less about immediate operational impact and more about where the regulatory architecture is heading. When the federal government treats frontier models as a national-security asset, the agencies...

EXAM READINESS

This is the most directly actionable regulatory signal for your team this week. The message from your examiners is clear: the existing model-risk framework does not cover gen AI or agentic AI, but...

FRAUD DEFENSE

For M&T Bank, this is a cyber-prioritization signal. The 46 percent account-takeover figure means the threat is concentrated exactly where your customers interact with the bank digitally. Traditional fraud defenses built around rate-limiting...

PORTFOLIO EXPOSURE

M&T's commercial loan book in the Northeast and mid-Atlantic likely includes businesses exposed to the AI supply chain : data centers, specialized construction, power infrastructure, and tech services. A sustained AI repricing could...

INFRASTRUCTURE RISK

M&T Bank operates across New York State, and this moratorium directly touches commercial real estate exposure, utility-cost projections for business clients, and the local economic development pipeline. Any data-center project in your NY...